BUILDNOW TRADING COMPANY

(SINGLE MEMBER LIMITED LIABILITY COMPANY)

RIYADH – SAUDI ARABIA

FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT

FOR THE PERIOD FROM 16 MARCH 2022 (DATE OF COMMERCIAL REGISTRATION) TO 31 DECEMBER 2022

BUILDNOW TRADING COMPANY
(SINGLE MEMBER LIMITED LIABILITY COMPANY)
RIYADH – SAUDI ARABIA
FINANCIAL STATEMENTS AND INDEPENDENT AUDITOR'S REPORT
FOR THE PERIOD FROM 16 MARCH 2022 (DATE OF COMMERCIAL REGISTRATION) TO 31 DECEMBER 2022

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Bakodah & Company
Certified Public Accountants
Independent Member of Nexia International

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INDEPENDENT AUDITOR'S REPORT

TO / THE PARTNER
BUILDNOW TRADING COMPANY
(SINGLE MEMBER LIMITED LIABILITY COMPANY)
RIYADH - SAUDI ARABIA

Opinion :
We have audited the financial statements of **Buildnow Trading Company**, a single person limited liability company ("the Company"), which comprise the statement of financial position as at December 31, 2022, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the period from 16 March 2022 (date of commercial registration) to December 31, 2022, and the accompanying notes from (1) to (16) including summary of the significant accounting policies which is considered an integral part of these financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2022 and results of its operations its cash flows for the period from March 22, 2022 to December 31, 2022 in accordance with International Financial Reporting Standard Small and Medium-sized Entities ("IFRS for SMEs" that is endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are endorsed and issued by the Saudi Organization for Chartered and Professional Accountants.

Basis of Opinion :
We conducted our audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the financial statements section of our report. We are independent of the Company in accordance with the professional code of conduct and ethics that are endorsed in the Kingdom of Saudi Arabia that are relevant to our audit of the financial statements and we have fulfilled our ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management for the financial statements:
Management is responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standard for Small and Medium-sized Entities (IFRS for SMEs) that is endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements that are issued bythe Saudi Organization for Chartered and Professional Accountants (SOCPA), the Regulations for Companies and the Company's articles of association and for such internal control as management determines is necessary to enable the preparation of financial statements that are free of material misstatements, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The management is responsible for overseeing the financial reporting process of the Company.

Independent member of
Nexia International

Offices in Dammam, Riyadh, Jeddah, Jubail

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(CONTINUED) INDEPENDENT AUDITOR'S REPORT – BUILDNOW TRADING COMPANY

Auditor's Responsibilities for the Audit of the financial statements :

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, these could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentations, or the override of internal controls .
- Obtain an understanding of internal controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company .
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management of the Company.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, the structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation of the financial statements.

We communicate with the management regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal controls that we identify during our audit.

Date : 22 Dhu al-Qi'dah 1444H
11 June 2023

Abdullah Omar Bakodah & Company
Certified Public Accountants

شركة عبدالله عمر باكودح وشركاؤه
محاسبون ومراجعون قانونيون
س.ت ٢٠٥٠١٠٤٨٨٢
Certified Public Accountants
ABDULLAH OMAR BAKODAH & COMPANY

(Sami Ayesh Bou Saleh - License No. 579)

BUILDNOW TRADING COMPANY
(SINGLE MEMBER LIMITED LIABILITY COMPANY)
RIYADH – SAUDI ARABIA
STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2022
(IN SAUDI RIYAL)

Assets	**Note**	**31 December 2022**
Current assets :		
Bank balances		**1,684,726**
Trade receivables		**4,893,766**
Prepaid expenses and other debit balances	5	**502,776**
Total current assets		**7,081,268**
Non-current assets :		
Machinery, property and equipment	6	**72,430**
Total non-current assets		**72,430**
Total assets		**7,153,698**
LIABILITIES AND EQUITY		
Current liabilities :		
Amounts due to related parties	7	**6,758,809**
Trade payables and other credit balances	8	**76,774**
Provision for Zakat	9	**17,142**
Total current liabilities		**6,852,725**
Total liabilities		**6,852,725**
Equity :		
Capital	10	**25,000**
Statutory reserve		**7,500**
Retained earnings		**268,473**
Total Equity		**300,973**
TOTAL LIABILITIES AND EQUITY		**7,153,698**

The accompanying notes from No. 1 to 16 form an integral part of these financial statements.

BUILDNOW TRADING COMPANY

(SINGLE MEMBER LIMITED LIABILITY COMPANY)

RIYADH – SAUDI ARABIA

STATEMENT OF COMPREHENSIVE INCOME

FOR THE PERIOD FROM 16 MARCH 2022 (DATE OF COMMERCIAL REGISTRATION) TO 31 DECEMBER 2022

(IN SAUDI RIYAL)

	Note	31 December 2022
Sales		**12,745,460**
Cost of sales	11	**(11,937,194)**
Gross profit		**808,266**
Expenses :		
General and administrative	12	**(665,471)**
Net operating profit		**142,795**
Revenues and other gains		**150,320**
Profit for the period before Zakat		**293,115**
Zakat	9	**(17,142)**
Net profit for the period		**275,973**
Net comprehensive income for the period		**275,973**

The accompanying notes from No. 1 to 16 form an integral part of these financial statements.

BUILDNOW TRADING COMPANY
(SINGLE MEMBER LIMITED LIABILITY COMPANY)
RIYADH – SAUDI ARABIA
STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD FROM 16 MARCH 2022 (DATE OF COMMERCIAL REGISTRATION) TO 31 DECEMBER 2022
(IN SAUDI RIYAL)

	Capital	Statutory reserve	Retained earnings	Total Equity
Capital formation	25,000	0	0	25,000
Net profit for the period	0	0	275,973	275,973
Making a statutory reserve	0	7,500	(7,500)	0
Balance at 31 December 2022	25,000	7,500	268,473	300,973

The accompanying notes from No. 1 to 16 form an integral part of these financial statements.

BUILDNOW TRADING COMPANY

(SINGLE MEMBER LIMITED LIABILITY COMPANY)

RIYADH – SAUDI ARABIA

STATEMENT OF CASH FLOWS

FOR THE PERIOD FROM 16 MARCH 2022 (DATE OF COMMERCIAL REGISTRATION) TO 31 DECEMBER 2022

(IN SAUDI RIYAL)

	Note	31 December 2022
Cash flows from operating activities:		
Profit for the period before Zakat		**293,115**
Adjustments :		
Depreciation of property, plant and equipment	6	**3,215**
		296,330
The changes in operating assets and liabilities:		
Trade receivables		**(4,893,766)**
Prepaid expenses and other debit balances		**(502,776)**
Trade payables and other credit balances		**76,774**
Net cash flows (used in) operating activities		**(5,023,438)**
Cash flows from investing activities :		
Additions to property, plant and equipment	6	**(75,645)**
Net cash flows (used in) investing activities		**(75,645)**
Cash flows from financing activities		
Capital	10	**25,000**
Amounts due to related parties		**6,758,809**
Net cash flows available from financing activities		**6,783,809**
Net change in bank balances during the period		**1,684,726**
Bank balances at the beginning of the period		**0**
Bank balances at the end of the period		**1,684,726**

The accompanying notes from No. 1 to 16 form an integral part of these financial statements.

BUILDNOW TRADING COMPANY
(SINGLE MEMBER LIMITED LIABILITY COMPANY)
RIYADH - SAUDI ARABIA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD FROM 16 MARCH 2022 (DATE OF COMMERCIAL REGISTRATION)
TO 31 DECEMBER 2022
(IN SAUDI RIYAL)

1- Organization and activities

Buildnow Trading Company ("the Company") is a single person limited liability company registered in Riyadh, Kingdom of Saudi Arabia on 19-08-1443H, (17/03/2022) under commercial registration number 1010789357.

The activities of the Company are wholesale sale of water tanks, including (fiberglass tanks and accessories), wires, switches and connection equipment, metal and iron slides, withdrawals and blocks, wood of all kinds. Wholesale of tools for iron and locks, cement, plaster and similar items, and and gravel of all kinds, bricks, tiles, stone, marble, ceramics and porcelain, sanitary tools and extensions, heaters and water tanks, hand tools such as screwdrivers, saws, hammers, etc, waste, scrap and recycling materials, including (collection, classification, detailing, stripping, storage, delivery and delivery), retail sale of dyes, paints, varnishes, and adhesives Retail sale of sanitary ware and extensions such as washbasins, chairs, bathtubs, etc. sauna equipment Retail sale of electrical tools and extensions Retail sale of building materials, including cement, blocks, gypsum, cement tiles, etc. Retail sale of metal and iron pipes.

The financial statements of Balad Now Trading Company were approved by the Company's management on 11 June 2023.

The financial statements covers the year from 16 March 2022 to 31 December 2022.

2- Basis of preparation

2-1 Statement of compliance

These financial statements have been prepared in accordance with the International Financial Reporting Standard for Small and Medium-sized Entities that is endorsed in the Kingdom of Saudi Arabia and other relevant pronouncements endorsed by the Saudi Organization for Chartered and Professional Accountants (SOCPA) (collectively referred to as "IFRS as endorsed in Saudi Arabia").

2-2 Judgments and Estimates

The preparation of the financial statements in accordance with the IFRS for SMEs requires the use of some critical accounting estimates. The management is also required to exercise accounting judgments in applying the Company's accounting policies. This is disclosed in note (4).

2-3 Basis of measurement

These financial statements were prepared under the historical cost convention, accrual basis of accounting and going concern basis.

2-4 Functional and presentation currency

Saudi riyal is the functional and presentation currency of the Company. Amounts are rounded to the nearest riyal, unless otherwise stated.

3- Summary of significant accounting policies

Below are significant accounting policies used in preparing these financial statements:

3-1 Cash and cash equivalents

Cash and cash equivalents consist of cash on hand and at banks and time deposits with maturities of three months or less from the date of acquisition and are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

3-2 Trade receivables and other debit balances

Most sales are on regular credit periods and receivables are not subject to any commission. For goods sold to a customer on short-term credit, trade receivables are recognized based on the undiscounted cash amount of financial liabilities due from that entity which is normally the invoice amount. For the item sold to a credit-free customer. At end of each reporting period, the carrying amount of trade and other receivables is reviewed to determine whether there is an objective evidence that of uncollectability. If such evidence exists, impairment loss is recognized in the profit or loss directly in the statement of profit or loss and other comprehensive income.

3-3 Financial Instruments

Financial instruments are initially recognized at the transaction price (including transaction cost except in the initial measurement of financial assets and liabilities that are subsequently measured at measured at fair value through profit or loss). If the arrangement constitutes a financing transaction, the entity shall measure the financial asset or financial liability at the present value of the future payments discounted at market rate of interest for a similar debt instrument.

After initial recognition, the Company measures financial instruments at amortized cost using effective interest method, cost less impairment or fair value through the statement of profit or loss, according to the initial classification of the financial asset. Differences from measurement of financial instruments are recognized when preparing the financial statements through the statement of profit or loss, as well as upon de-recognition of the financial instrument.

3-4 *Current versus non-current classification*

The Company presents assets and liabilities in the statement of financial position based on current/non-current classification. An asset as current when it is:

- expected to be realized or intended to sold or consumed in normal operating cycle;
- held primarily for the purpose of trading;
- expected to be realized within twelve months after the reporting period; or
- cash or cash equivalent, unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as "non-current".
A liability is current when:

- it is expected to be settled in normal operating cycle
- held primarily for the purpose of trading;
- it is due to be settled within twelve months after the reporting period; or
- there is no unconditional right to defer the settlement of the liability for at least 12 months after the reporting period.

All other liabilities are classified by the Company as "non-current".

3-5 Financial assets and financial liabilities

The financial assets carried on the statement of financial position include cash at bank, trade and other receivables, derivative financial instruments. Financial liabilities include trade payables, accrued expenses, other payables and funding from the partner.

At each reporting period, the Company reviews the carrying amounts of its assets to determine whether there is any indication that an asset have suffered an impairment loss. If any indication exists, impairment loss is recognized in the profit or loss in the statement of profit or loss and other comprehensive income.

For a financial asset measured at cost less impairment, the impairment loss is the difference between the asset's carrying amount and the best estimate (which will necessarily be an approximation) of the amount (which might be zero) that the entity would receive for the asset if it were to be sold at the date of financial statements.

3-6 Impairment of Non-Financial Assets

At each statement of financial position date, the Company reviews the carrying amounts of its property, plant and equipment to determine whether there is any indication that those assets have suffered an impairment loss. If there is evidence of a possible impairment, the recoverable amount of the affected asset (or cash-generating unit) is estimated and compared to its carrying amount. If the recoverable amount is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. Impairment losses are recognized immediately in the statement of profit or loss and other comprehensive income.

At each of reporting date, goods, if any, are tested for impairment by comparing its carrying amount if each item of goods (or a group of similar items) with its selling price less costs of sale. If there is an indication that an item of goods (or a group of similar items) is impaired, its carrying amount is reduced to the selling price less costs of sale. Impairment losses are recognized immediately in the statement of profit or loss and other comprehensive income.

3-7 Trade payables and other credit balances

Liabilities are recognized for amounts to be paid in the future for goods or service received, whether billed or not by suppliers.

3-8 Provisions

The Company should recognize provisions when:

- the Company has a present obligation (legal or constructive) as a result of a past event.
- It is probable that an outflow of resources embodying economic benefits will be required to settle the obligation.
- When the amount is estimated reliably.

Where the effect of the time value of money is material, provisions are discounted using a pre-tax and zakat rate that reflects current market assessments of the time value of money and the risks specific to the obligation. When the discount is used, the increase in the provision with the passage of time is recognized as part of the finance costs in the statement of profit or loss and other comprehensive income.

3-9 Zakat

The Company is subject to the regulations of the Zakat, Tax and Customs Authority in the Kingdom of Saudi Arabia. Zakat is provided on an accruals basis. Zakat charge is computed on Zakat base. Any difference in the estimate is recorded when the final assessment is approved, at which time the provision is cleared.

3-10 Statutory reserve

In accordance with the Regulations for Companies in Kingdom of Saudi Arabia, the Company has to establish a statutory reserve by the appropriation of 10% of net income until the reserve equals 30% of the share capital.

3-11 Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable taking into account the amount of any discounts allowed by the Company.

The Company recognizes revenue when all the following conditions have been satisfied:

The amount of revenue can be measured reliably;

It is probable that future economic benefits will flow to the company;

The costs incurred in the transaction can be measured reliably.

When works are performed by an indeterminate number of acts over a specified period of time, the Company recognise revenue on a straight-line basis over the specified period.

If the outcome cannot be estimated reliably, revenue is recognised only to the extent of recoverable contract costs incurred.

Revenue includes only the gross inflows of economic benefits received or receivable by the Company on its own account. All amounts collected on behalf of a third party account such as income taxes and value added taxes are excluded.

3-12 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards incidental to leased asset to the Company. All other leases are classified as operating leases. Rental payable under operating leases are charged to the statement of profit or loss on a straight line basis over the term of the operating lease.

3-13 Expenses

Expenses of the Company consist of general expenses and administrative expenses. The cost of revenue is charged with the full cost of direct labor and indirect costs. Other direct and indirect expenses related to management but not related to operation function are classified as general and administrative expenses. Under the accrual basis of accounting, expenses are recorded in the fiscal year under general and administrative expenses.

4- Significant accounting estimates, assumptions and judgements

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses, disclosure of contingent liabilities at the date of the financial statements**.** Uncertainty related to such estimates and assumptions may require material adjustments on the fair value of assets and liabilities which might be affected in the future.

The estimates and associated assumptions are based on historical experience and other factors that are considered to be reasonable in circumstances. The Company is required to make judgments, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimate is revised or in the period of the revision and future periods if the revision affects both current and future periods.

Going concern

The Company has no doubts about its ability to continue as a going concern. Accordingly, the financial statements have been prepared on the basis of going concern.

Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the end of the reporting period, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

Impairment of Non-Financial Assets

Impairment exists when the carrying value of an asset or CGU exceeds its recoverable amount, which is the higher of its fair value less costs of disposal and its value in use. The fair value less costs of disposal calculation is based on available data from binding sales transactions, conducted at arm's length for similar assets or observable market prices less incremental costs for disposing of the asset. The recoverable amount is most sensitive to the discount rate used for the DCF model as well as the expected future cash-inflows and the growth rate used for extrapolation purposes.

Impairment of trade receivables

An estimate of the collectible amount of trade accounts receivables is made when collection of the full amount is no longer probable. For individually significant amounts, this estimation is made on an individual basis. Amounts which are not individually significant, which are past due, are assessed collectively and an allowance applied according to the length of time past due.

Fair value measurement of financial instruments

When the fair value of financial assets and financial liabilities recorded in the statement of financial position cannot be measured based on quoted prices in active markets, their fair value is determined using valuation techniques including the Discounted Cash Flow (DCF) model. The inputs to these models are taken from observable markets where possible, but where this is not feasible, a degree of judgement is required in establishing fair values. The judgements include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions relating to these factors could affect the reported fair value of financial instruments.

NOTE 5) Prepaid expenses and other debit balances

	31 December 2022
Suppliers - advance payments	459,062
Prepaid expenses	42,214
Deposit with others	1,500
	502,776

NOTE 6) Property, plant and equipment

Cost:	Motor vehicles	Office equipment	Total 31 December 2022
Additions			
Cost at the end of the period :	52,522	23,123	75,645
	52,522	23,123	75,645
Deprecation:			
Depreciation for the period			
Total depreciation at the end of the period:	875	2,340	3,215
	875	2,340	3,215
Net carrying amount			
	51,647	20,783	72,430

NOTE 7) Amounts due to related parties

Amounts due from related parties represent financial support provided by related parties or providing support to those parties using arm's length price.

The following credit balances resulted from transactions with related parties at the end of the period:

	Relationship	31 December 2022
Hisham Abdulelah Othman Al-Saleh	Financing	**6,758,809**
		6,758,809

Below are the significant transactions with related parties for the period ended December 31:

Related party	Type	Transaction amount 2022
Hisham Abdulelah Othman Al-Saleh	Financing	**6,500,000**
	Bonus	**372,064**

NOTE 8) Trade payables and other credit balances

	31 December 2022
Value added tax payable	**49,806**
Due to employees	**26,968**
	76,774

NOTE 9) Zakat

9- 1 Zakat charged during the period is as follows:

	31 December 2022
Charged for the period	**17,142**
(Over)/under provision for previous years	**0**
	17,142

9-2 The major components of Zakat base are as follows:

	31 December 2022
Positive Zakat base	**97,430**
Negative Zakat base	**(72,430)**
Adjusted income	**665,179**

9-3 Movement in Zakat provision during the period is as follows:

	31 December 2022
Opening balance for the period	**0**
Provided during the period	**17,142**
Repaid during the period	**0**
Balance at the end of the period	**17,142**

9-4 Status of Zakat certificates and assessments :

This is the first fiscal period of the Company and the Company did not file the Zakat declaration for the period ended 31 December 2022.

NOTE 10) Capital

As at December 31, 2022, the capital of the Company is SR 25,000 and is owned and distributed between the partners as follows:

Partner name	Nationality	Number of shares	Value of shares	Total
Hisham Abdulelah Othman Al-Saleh	Saudi	250	100	**25,000**
Total		250		**25,000**

NOTE 11) Cost of sales

	31 December 2022
Purchases during the period	**11,937,194**
Total	**11,937,194**

NOTE 12) General and administrative expenses

	Note	31 December 2022
Salaries, wages and related expenses		**35,791**
Bonus	7	**372,064**
Consultancy expenses		**156,303**
Rent		**21,199**
Subscriptions		**21,197**
Government expenses		**19,064**
Office expenses		**16,804**
Depreciation of property, plant and equipment		**3,215**
Other expenses		**19,834**
Total		**665,471**

NOTE 13) Contingent liabilities and capital commitments

- The Company has no contingent liabilities until the date of financial statements at December 31, 2022.

The Company has no capital commitments until the date of financial statements at December 31, 2022.

NOTE 14) Subsequent events

The management believes that no significant subsequent events have taken place from the reporting date (31 December 2022) to the date of issuance of the financial statements that may have a material impact on the Company's financial position as part of these financial statements.

NOTE 15) Financial instruments and risk management

Financial instruments in the statement of financial position comprise of: cash and cash equivalent, accounts receivable, accounts payable, due to related parties and other liabilities.

15-1 Credit risks

Credit risk is the risk that one party may fail to discharge an obligation and will cause the other party to incur a financial loss. The Entity is not highly exposed to credit risks as cash is placed with local banks with high credit rating. Trade and other receivables are due from current customers and related parties and are stated at their net realizable value.

15-2 Currency risks

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Entity primarily deals in Saudi Riyals and US Dollars. Foreign currency transactions other than the US dollar are immaterial. Currency risk is monitored on a regular basis. The Entity believes that it is not significantly exposed to currency risk as the Saudi Riyal is pegged to the US Dollar.

15- 3 Liquidity risk

Liquidity risk is the risk that the Entity will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from the inability to sell a financial asset quickly at an amount close to its fair value. The Entity manages liquidity risk by monitoring on a regular basis that sufficient funds are made available to meet any future commitments, availability of credit facilities and support from partners.

15-4 Interest rate risk

Interest rate risk is exposure to various risks associated with fluctuations in the prevailing interest rates which may affect the Entity's financial position and cash flows. Management monitors changes in interest rates and believes that fair value and interest rate risk to the Entity's cash flow are not significant.

NOTE 16) Fair value

Fair value is the amount for which an asset could be exchanged, or a liability settled between knowledgeable willing parties in an arm's length transaction. Differences can arise between the book values and fair value estimates of the Entity’s assets and liabilities.